

Philanthropic characteristics of the Black Hills Area and comparison to selected benchmark regions

Prepared by Statistics Without Borders for the Black Hills Area Community Foundation



Introduction and executive summary 2

 Executive summary 2

 Study background and objectives 2

 Limitations 2

 Data sources 3

Selection and demographic analysis of benchmark regions 3

 Benchmark region selection..... 4

 Relevant details about data sources 4

 Results of benchmark regions analyses 4

Characterization of donation activity 4

 Relevant details about data sources 5

 Results of donation activity analysis 5

Characterization of non-profit organizations 5

 Relevant details about data sources 6

 Results of non-profit organization analysis..... 6

Conclusions 6

Introduction and executive summary

Executive summary

(Need to write it at the end based on conclusions)

Study background and objectives

The study objective is to describe, through publicly available quantitative data, the philanthropic landscape of the Black Hills region. The Black Hills region is compared to a set of benchmark regions selected to have similar demographic and qualitative characteristics, with the intention of identifying similarities and differences that may inform the strategy of Black Hills Area non-profit institutions.

The Black Hills area of South Dakota is made up of 7 counties in Western South Dakota (Butte, Meade, Lawrence, Pennington, Custer, Oglala Lakota, and Fall River Counties) and a small portion of Eastern Wyoming. This is a largely rural region with a strong tourism industry as well as agriculture, ranching, mining and is the home of Ellsworth Airforce Base. These characteristics were considered when selecting the benchmark regions for comparison, with a goal of identifying benchmark areas with broadly similar demographic, economic, historical, and cultural characteristics.

The philanthropic landscape of the Black Hills region is believed to be driven by its rural character and its tourism-driven economy. This study summarizes demographic characteristics, donor characteristics, and non-profit organization statistics in comparison with benchmark regions, with the intention of identifying similarities, differences, and correlations with philanthropic behavior. The analysis covers the period after the COVID-19 epidemic of 2020- 2021, which represented a significant disturbance in economic activity.

Limitations

General limitations of the study are described here, while limitations specific to individual data sources are described in later sections. This study was restricted to analysis of publicly available data from open-access internet resources rather than being collected specifically to support the desired analyses. Most of the data are self-reported in the context of tax filings and no audits or other accuracy checking were performed. The desire to focus on the post-covid period meant that some datasets had as few as one year's worth of available data. Multiple years were analyzed where available, as indicated.

Commented [AR1]: get client input here to describe what is unique about BHR

Commented [AR2R1]: Background section has been shared with Eric for input (May 17)

Commented [AR3R1]: Eric's minor changes have been incorporated.

Commented [AR4]: this can be a high level overview, with details pertaining to each section later

Commented [MM5]: Some of this may be a little picky, but these are my thoughts:

- 1) I think we know how the data were collected and processed (wouldn't say details were limited), the limitation is that we had no control over any of this. The limitation is that we had to take what we could get, in the form we found it.
- 2) 990 data and tax deductions are self reported but I am not sure that introduces bias. 990 is an informational form so presumably filers are honest. Tax deductions may be exaggerated but I think we should assume filers are honest (maybe an heroic assumption).
- 3) Some donations to religious organizations would be in the data set (e.g., faith based charities) unless we excluded them.
- 4) We were additionally limited by needing to look beyond the period of Covid. Since Covid would have significantly affected charitable giving, we looked at only the time periods after the most intense period of the pandemic. This left us with at most three years of data (and less in some cases).

Commented [MM6R5]: To follow up on the religious organizations, I think we just need to be more specific. Houses of worship and some auxiliary organizations don't have to report but some organizations that would be considered "religious" do. Houses of worship are the important category that is excluded.

Commented [AR7R5]: thanks michael i tried to address these

Several categories of philanthropic activity are known to be absent from these data due to falling outside the requirements for IRS reporting. For example, crowd-sourced donations such as GoFundMe, and informal donations to family or community members, do not appear in the data sources employed in the report. Donations of any type that are paid by tax filers who don't itemize deductions are not present in the analysis of donor characteristics. Non-itemizing filers constitute a large majority of taxpayers in the Black Hills and benchmark regions, so this is an especially noteworthy limitation. Similarly, non-profit organizations who are exempt from IRS reporting due to their size or function (ie, certain religious organizations) are not present in the organization-centered datasets and may make up a large proportion of non-profit organizations.

Correlations between demographic characteristics, donor behavior, and other variables may be identified, but causal relationships cannot be inferred.

Data sources

What data sources were used and why?

What are their limitations?

Note appendices for details.

Selection and demographic analysis of benchmark regions

Benchmark region selection

What were the objectives?

What regions were selected and why?

Relevant details about data sources

Anything the reader needs to know about how the data sources, availability, etc impact the interpretation of this section

Results of benchmark regions analyses

This section presents a comparative analysis of the demographic characteristics of the Black Hills region in relation to the selected benchmark regions. Analyses were carried out across key structural characteristics, including population size, labor market dynamics, occupational composition, and household income.

Population Size and Structure

The Black Hills region has a smaller total population compared to the Sioux Falls region (suggesting higher density in Sioux Falls) but has a higher total population than the other three benchmark regions (Figure 1a).

However, the population aged 16 and above in the Black Hills region shows a substantial proportion of the total population falling within the working age category, which is consistent with the patterns observed in the benchmark regions (Figure 1b).

Figure 1a: Total Population of Black Hills with Bench Mark Regions
(ACS 5-Year Estimate Data, 2024)

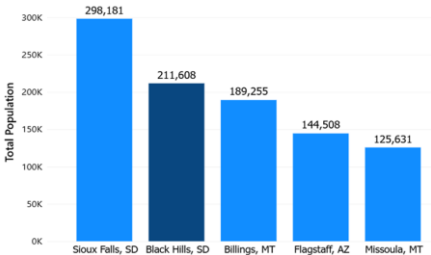
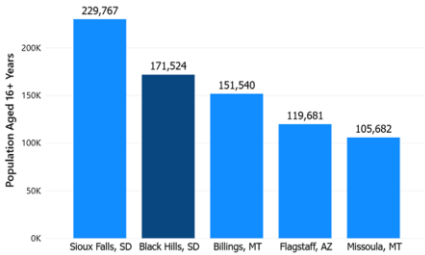


Figure 1b: Population (Aged 16+Years) of Black Hills with Bench Mark Regions
(ACS 5-Year Estimate Data, 2024)



Labor Market Characteristics

Considering the population aged 16 and above, a larger fraction of them is in the labor force, across all the regions, while the smaller fraction is categorized as not in labor force. The labor force category is also classified into Civilian labor force, which takes the majority, and the Military labor force which takes only a very small, negligible share. The labor force signifies individuals aged 16 and above that are either employed or actively seeking employment.

Within the civilian labor force, employment levels are consistently high across both the Black Hills and benchmark regions, with unemployment levels representing a relatively small proportion.

Overall, the Black Hills region demonstrates labor market participation patterns that are broadly comparable to the benchmark regions, indicating similar levels of workforce engagement, despite differences in population size.

Figure 2a: Population (Aged 16+Years) that are In labor force and those not in labor force, in Black Hills and Bench Mark Regions

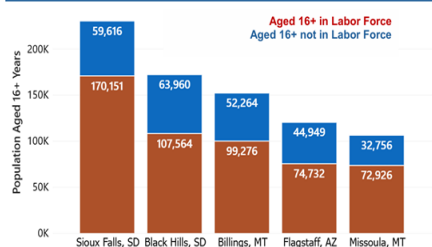
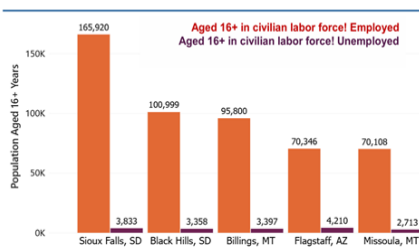


Figure 2b: Population (Aged 16+Years in civilian labor force) that are employed and those not employed, in Black Hills and Bench Mark Regions

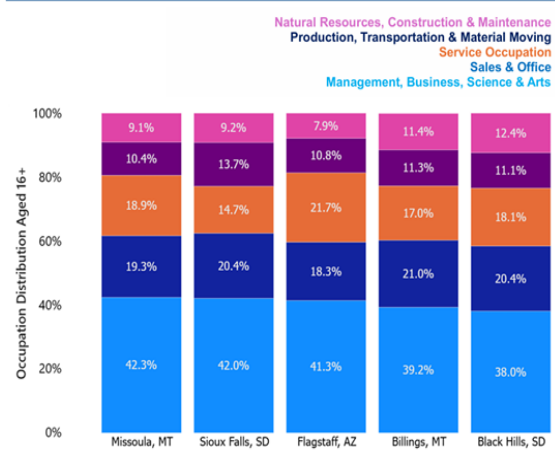


Occupational Structure

The occupational distribution highlights how employment is spread across major sectors. In the Black Hills and benchmark region, employment is distributed across five major sectors which are: Natural resources, construction, and maintenance; Production, transportation, and material moving; Service occupations; Sales and office occupations; and Management, business, science, and arts occupations.

Compared to benchmark regions (Figure 3), the Black Hills shows a higher concentration in the natural resources, construction and maintenance occupations, with a slightly lower proportion of employment in the management, business, science, and arts occupations.

Figure 3: Occupational Distribution of Civilian Employed Aged 16+ years in Black Hills Compared with Bench Mark Regions



Characterization of donation activity

Relevant details about data sources

Anything the reader needs to know about how the data sources, availability, etc impact the interpretation of this section

Results of donation activity analysis

Main analysis content goes here

Characterization of non-profit organizations

Relevant details about data sources

Anything the reader needs to know about how the data sources, availability, etc impact the interpretation of this section

Results of non-profit organization analysis

Main analysis content goes here

Conclusions

